Wockhardt Ltd

Concall Tracker · earning-trigger & management-consistency read · prepared 11 Jul 2026 · NSE: WOCKPHARMA · BSE: 532300

1. Snapshot — what the business is

Wockhardt is a 55-year-old Indian drug maker that has re-invented itself around **new-antibiotic research**. It sells everyday medicines (diabetes, pain, injectables) mainly in the UK, Ireland, India and emerging markets, plus its own **diabetes biosimilars** (its own cheaper copies of insulin). The big prize is its home-grown antibiotic **Zaynich (WCK 5222)**, which in June 2026 became the **first Indian research drug ever approved by the US FDA** (the American drug regulator). After years of heavy losses the company has swung firmly back into profit.

Number (source: Screener + June-2026 call)	Plain-English read
Market value ~₹29,400 cr	What the whole company is worth on the stock market today.
Share price ₹1,811 (year range ₹1,087–₹2,422)	The price has more than doubled off its low — a lot of good news is already in the price.
Price-to-Earnings (P/E) = 101	Investors are paying ₹101 for every ₹1 of yearly profit — a **very expensive** tag that only makes sense if profits grow fast from here.
FY26 group sales ₹3,373 cr (whole group, incl. UK/Ireland/exports)	Total sales for the year to Mar-2026; management says this grew steadily across all regions.
FY26 operating profit (EBITDA) ₹630 cr, margin 18.6% (+51% on last year)	EBITDA = profit from the core business before interest, tax and wear-and-tear costs. Margin means ₹18.6 kept as operating profit from every ₹100 of sales — up sharply.
FY26 net profit ₹317 cr (Screener standalone) vs a ₹12 cr loss last year	The bottom line finally turned clearly positive after four loss-making years.
Net-debt-to-equity 0.1; cash ~₹662 cr	Borrowings are now tiny next to the company's own money — the balance sheet is healthy and de-risked.
Return on capital (ROCE) ~9.7%	For every ₹100 of capital used the business earns ~₹9.7 — still modest; the pay-off is expected to come from Zaynich later.

Note on two revenue numbers: Screener's page shows the India-only (standalone) entity — sales ₹1,739 cr, net profit ₹317 cr. Management quotes the whole global group — sales ₹3,373 cr. Both are used above and are consistent; the group figure is the fuller picture of the business.

2. Concall coverage

Wockhardt does **not** hold a call every quarter — it runs occasional investor meetings. Screener listed only three transcripts, and all three were read in full (oldest → newest):

Call	Date	What it covered	Read?
Q3 FY23	21 Feb 2023	Survival/turnaround plan: cut debt, exit loss-making US, Zaynich Phase-3 underway	Yes
FY25 wrap	05 Jun 2025	Turnaround delivered; Zaynich filed with regulators; launch plans	Yes
FY26 wrap	04 Jun 2026	Zaynich US FDA approval; global launch strategy	Yes

Coverage limit: only three calls span ~3.5 years (Feb-2023, Jun-2025, Jun-2026), so the quarter-by-quarter consistency read is thinner than for a company that talks every quarter. The gap was filled using Screener's financial tables, which line up with what management said.

2b. Latest concall highlights — FY26 wrap (4 June 2026) ★

- **Historic approval:** Zaynich (WCK 5222) won **US FDA approval** — the first Indian-invented research drug to do so. Approved for complicated urinary infections (cUTI), with the label naming the hardest gram-negative superbugs it covers.
- **Results direction:** FY26 group sales **₹3,373 cr** with operating profit (EBITDA) **₹630 cr, up ~51%**, and margin lifted to 18.6% from 5.4% three years ago — the core business is genuinely fixed, not just the new drug.
- **New guidance — be patient:** management says Zaynich revenue will be a **"slow increase then a hockey-stick"**; the US business will run at a **slight loss for the first 12–18 months** before it takes off. In plain words: the big money is still 1–2 years away, not now.
- **How big it could get:** management repeatedly guides Zaynich **peak sales of $1.5–2 billion a year globally** (~₹13,000–17,000 cr) — multiples of today's whole-company sales, but that is a target, not a proven number.

- **Strategy shift:** after earlier weighing selling the drug's rights to big pharma, Wockhardt has **decided to commercialise Zaynich itself** (asset-light, with an outside logistics/sales partner in the US) — more upside if it works, but more execution risk and no big upfront cheque.
- **Tone:** triumphant and confident — a founder-led team celebrating a 25-year bet paying off, but candid that selling a novel antibiotic is a brand-new skill for them.

2c. Business mix & capacity

Where sales come from (FY26): India (domestic) ~23% · outside India (exports) ~77% — UK 39%, emerging markets 28%, India 23%, Ireland the rest. **Read:** roughly three-quarters of sales are earned abroad, so the UK and emerging markets matter as much as India.

By product (FY26): core pharma ~75% · specialty (biosimilars + novel antibiotic) ~23–25%. Biosimilars grew ~27%; insulin output scaled 2x and Glargine 1.5x. **Capacity:** no single utilisation % was given; management is **doubling biosimilar capacity in 12–15 months** and plans ~₹200–300 cr capex over three years, so headroom is being built ahead of demand.

3. Earning-trigger thesis ★

Two things are meant to grow earnings. **(1) The turnaround — already delivered:** by exiting the loss-making US generics business, cutting debt and running ~50 cost projects, Wockhardt lifted operating margin from 5.4% to 18.6% and swung to profit. That part is real and in the numbers. **(2) The big bet — Zaynich:** a genuinely novel antibiotic for drug-resistant hospital infections, now US-FDA-approved, patent-protected to 2038, with a claimed $1.5–2 bn/year peak. This is the reason the stock trades at 101x earnings — but it has **not sold a single commercial dose yet**, and management itself says revenue is 12–18 months out with a loss first. So the driver is concrete and de-risked on *approval*, but *unproven on actual earnings*.

Trigger	What management said	Evidence so far	Horizon	Strength
Core-business turnaround	Focus on profit & cash; exit US generics; cost programs	Margin 5.4%→18.6%; net profit +₹317 cr; debt near zero	Done	Strong
Zaynich antibiotic	US FDA approval, then India/Europe/ EMs; $1.5–2 bn peak	FDA approval won; strong trial data; but zero commercial sales yet	Revenue 12–18m+ out	Unproven
Diabetes biosimilars	Double the business in ~3 years; capacity doubling now	Grew ~27–35%; insulin/Glargine scaled up	2–3 years	Moderate
Antibiotic pipeline (Odrate, Foviscu, 6 QIDP molecules)	More drugs behind Zaynich; nothing new for ~4 years	Early stage; Odrate ~4 years away	4+ years	Unproven

4. Management-consistency scorecard (promised vs delivered)

Period / promise	What was promised	What actually happened	Verdict
Feb 2023	Cut external debt hard; turn PBT-positive “in two years”	Debt cut from ~₹3,200 cr to near-zero; profit turned positive in FY26 — about a year later than promised	Delivered (slightly late)
Feb 2023	Exit/restructure loss-making US business to save ~$12m	US generics exited; losses stopped; margins rose	Delivered
Feb 2023	Zaynich Phase-3 done in 15–18 months, “in markets by 2025”	Trial completed; US FDA approval came mid-2026 — approval slipped ~a year, but achieved	Partly / late
Feb 2023	Serum Institute vaccine JV (150m doses/ yr, 15-yr profit share) as a growth pillar	Never mentioned again in 2025 or 2026 calls — quietly dropped from the story	Dropped
Jun 2025	File with US FDA soon; approval “beginning of next year”; US launch mid-2026	FDA approval won by Jun-2026 — but commercial launch/revenue now pushed to 12–18 months out	Delivered (approval) / Too-early (sales)

Jun 2025	EBITDA margin to keep rising from 14%	Reached 18.6% in FY26	Delivered
Jun 2025	Considering selling Zaynich rights to big pharma OR self-launch	Chose to self-commercialise; out-licensing shelved	Changed (deliberate)

Narrative drift: The through-line has been remarkably steady for three years — *first survive & deleverage, then fix profitability, then scale on antibiotics & biosimilars* — and the hard operational promises (debt, margins, US exit, FDA approval) were largely **delivered**. The blemishes are honest ones: the FY25 profit and the Zaynich timeline each slipped by about a year, and the 2023 **Serum vaccine JV vanished from the story** without explanation. Tone has moved from "survival" (2023) to "the moment has arrived" (2026); founders remain frank that *selling* a novel antibiotic is a skill they still have to prove.

5. Bottom line — two verdicts

Durable earning trigger? → MAYBE

There is a real, delivered turnaround *and* a concrete, now-FDA-approved drug — stronger than a typical "pipeline dream." But the trigger that justifies a 101x P/E is Zaynich **commercial revenue**, and that has not started: management guides a slight loss first and a "hockey-stick" only 12–18 months out. The core business alone is healthy but only mid-single-digit growth. So the driver is credible but its earnings are still unproven — a genuine MAYBE, not yet a YES.

Management consistent? → YES

Across three years the strategy never zig-zagged, and the difficult, checkable promises — slashing debt to near-zero, exiting US generics, lifting margins from 5% to 19%, turning profitable, and winning FDA approval — were **delivered**, if a year or so late on two of them. The one clear blemish is the dropped Serum vaccine JV. On balance this is a founder team that says what it will do and does it, so YES.

> **Overall remark: WATCH.** The balance sheet is fixed and the FDA milestone is a real, hard-won achievement — so this is not a "Concern" story. But the entire investment case (and the 101x price tag) rests on a brand-new antibiotic that **is not selling yet** and needs Wockhardt to succeed at commercialisation for the first time. Until Zaynich revenue actually shows up, this is a wait-and-see, not a proven Positive.

Sources: Screener.in financial tables (standalone) and three Wockhardt investor-call transcripts (21 Feb 2023, 5 Jun 2025, 4 Jun 2026). This is not investment advice; do your own due diligence. Acronyms: EBITDA = operating profit before interest, tax & depreciation; P/E = price-to-earnings; FDA = US drug regulator; cUTI = complicated urinary-tract infection; QIDP = a US "priority antibiotic" status; JV = joint venture; PBT = profit before tax.